

HEDGEYE DAILY DIGEST

August 5, 2026 • Daily Macro Research Brief

Covering Hedgeye research — Tue Aug 4 (EDT) "Today" • Mon Aug 3 (EDT) "Yesterday" | Reader TZ: GMT+8

*The macro machine flipped the calendar and the regime with it. Hedgeye's monthly Quad path now reads **4-3-1** — July's **#Quad4** damage giving way to an **August #Quad3** and a **September #Quad1** nowcast — and Keith McCullough is quietly turning net long, running **25 long macro ETFs vs. 14 shorts**. The tell of the day: **NASDAQ and Tech (XLK) both flipped to Bullish TREND**, the tech short is being covered, and the S&P 500 printed "**day one of a higher high**" at a fresh all-time closing high — even as KM warns the crowd is now "chasing at all-time highs."*

Timing note: This digest runs the morning of **Aug 5 (GMT+8)**. Hedgeye's freshest US publishing day is **Tuesday, Aug 4 (EDT)** — treated here as "Today." "Yesterday" covers **Monday, Aug 3 (EDT)**. The Aug 5 EDT Early Look publishes later in the US session and will appear in tomorrow's digest.

Today's Publications — Tuesday, August 4 (EDT)

EARLY LOOK — "#Quad3 Shift & Squeeze!"

Early Look • Keith McCullough • 08/04/26 07:42 AM EDT

McCullough anchors the note in Jeff Hawkins' *A Thousand Brains* and the idea of a "reference frame." His reference frame is **Signal + Quad, simultaneously** — not a price chart, moving average, or "CNBC narrative." The rule: if something signals **Bullish** and *should* be bullish given the Quad, you buy it **on down days**, not when it "feels right."

The regime call is the headline. **July was a monthly #Quad4; August is nowcasted #Quad3; September is nowcasted #Quad1** — a **4-3-1 QuadCount**. KM notes July's Quad4 produced the **second-worst month of hedge fund performance in four years**, and much of August's squeezey start is those same players repairing damage: **High Beta Momentum rose +1.8%** on the day but is still **-15.1% over the past month**; the "Retail Investor" basket jumped **+3.8%** on the day but sits **-12.7%** on the month.

The recurring thesis is capital preservation over daily SPY-matching. KM's family office is long **Equal-Weight S&P 500 (RSP)** rather than **SPY** — noting **five stocks drove +43% of the day's SPY move** — plus **New Zealand (ENZL)** and **Philippines (EPHE)**, both up **+1.8%**. He concedes the most consensus **Hedge Fund Short basket (+4.9%)**, **Profitless Tech (+4.0%)**, and the **Retail Bro basket (+3.8%)** led the tape, but frames chasing them as the road to being **-2.7% YTD**.

Quad positioning: **#Quad3** (August), with **#Quad4** just ended (July) and **#Quad1** nowcast for September.

Investment implication: adapt to the Quad shift without chasing the squeeze — favor **Equal-Weight (RSP)**, energy, software/tech, health care, REITs, and select international longs; keep the process signal-first.

Risk Range™ Signals (Aug 4):

Asset	Risk Range	TREND
10Y UST Yield (UST10Y)	4.60–4.75	Bullish
High Yield (HYG)	78.89–79.41	Bullish
IG Corp Bonds (LQD)	105.5–106.7	Bearish
S&P; 500 (SPX)	7339–7644	Bullish
NASDAQ Comp (COMPQ)	24709–26140	Bullish
Russell 2000 (RUT)	2908–3005	Bullish
Technology (XLK)	168–183	Bullish
Health Care (XLV)	159–167	Bullish

Asset	Risk Range	TREND
Real Estate (XLRE)	44.62–46.41	Bullish
Volatility (VIX)	15.13–20.67	Bearish
US Dollar (USD)	99.41–101.42	Neutral
WTI Crude (WTIC)	77.28–92.36	Bullish
Nat Gas (NATGAS)	2.62–2.90	Bearish
Gold (GOLD)	4011–4119	Bearish
Copper (COPPER)	6.32–6.63	Bullish
Silver (SILVER)	56–60	Bearish

Notable shifts vs. Monday: NASDAQ (COMPQ) and Tech (XLK) both moved Neutral → Bullish, and WTI Crude flipped Bearish → Bullish (though it round-tripped intraday). **Gold's signal remains Bearish** even as KM stalks a buy-the-dip.

THE MACRO SHOW — Summary Notes | Tuesday, Aug 4

The Macro Show · 08/04/26 10:35 AM EDT

The book has shifted from **July Quad4 defense to August Quad3 net-long**, now **25 long macro ETFs vs. 14 shorts**. KM stressed positioning moves *before* the Early Look title makes the Quad3 shift “official.”

S&P 500 hit “**day one of a higher high**” — **7,609** the prior all-time closing high, **7,644** the new level — with positive gamma and a still-investable **VIX (<19)**, but he warned the street is “chasing at all-time highs” and can go overbought fast. On **oil**, WTI briefly went bullish then flipped back bearish mid-show; **no direct oil position** (volatility too high), but **long energy equities via XLE and refiners via CRAK**. **Rates: still bearish duration** — bonds bullish trade/trend from a *yield* perspective, oil up ~**20% m/m** keeping inflation re-acceleration alive; **TLT remains a core short**.

Two clean position changes today: he's **shorting DRAM** after the bounce (previously long), and **sold all remaining US Dollar** exposure on a lower high in the USD range vs. Gold making higher lows. **Tech = net long software, not semis** (“don’t need to be long the semiconductor bubble”). Global: **short more South Korea, net short China, short Qatar (QAT, down again); long New Zealand and Philippines** (buy the dip if it comes); no Europe positions. **Gold:** day five of a higher low, would buy the dip but waiting on the **jobs report**. **Small caps (IWM): not yet** — Quad3 doesn’t favor them; may wait for a mid-August correction.

MOMENTUM STOCK TRACKER — MOMO Tracker

Christian Drake & Ryan Ricci · 08/04/26 08:49 AM EDT

The Mag7 basket ripped **+3.6%** on the day. Per the published signals, **AMZN = BULLISH**, while **GOOGL and NVDA = NEUTRAL**. Concentration remains extreme: **five names drove ~43% of SPX's move**, echoing KM's warning that SPY is levered to a handful of mega-caps. (*Body is chart/data-driven; signals summarized from the dashboard header.*)

CAPITAL ALLOCATION PRO — Daily Dashboard | Model Portfolios

Capital Allocation Pro · 08/04/26 08:45 AM EDT

No fresh model-portfolio trades in today's dashboard beyond the standard cadence — the most recent catalogued changes go into effect on **closing prices**, and Trend/Tail levels for the **68 ETFs** refresh on the usual 3–4 week cycle. The dashboard reiterates the team's "pull vs. push" philosophy (emails only when research demands attention). Watch the live Model Portfolio feed for the next dated change set.

SIGNAL STRENGTH STOCKS — 64 Stocks (2 Added, 6 Removed)

Signal Strength Stocks · 08/04/26 11:26 AM EDT

The screen tightened to **64 names**. **Added: SJM, RCL**. **Removed: T, MUSA, LFST, MNST, BRKR, SMG**. The net removal of six names (down from 68 the prior day) is consistent with a Quad3 rotation weeding out decelerating/cyclical exposures while adding select consumer/leisure names.

DIGITAL ASSETS & CRYPTO QUANT

Digital Assets Position Monitor & Crypto Quant · 08/04/26 06:36 & 07:05 AM EDT

Digital Assets Position Monitor: Hedgeye moved **Ethereum (ETH)** from the **Long Bench** to the **Short Bench** — a notable negative shift in ETH conviction. **Crypto Quant:** **BTC -0.4%** overnight; the note flags a **Solana deflation-and-burn proposal**, "some very poor decisions," and **another Trump-administration crypto exit**. (*Crypto Quant body is chart-driven; headline signals summarized.*)

Yesterday's Publications — Monday, August 3 (EDT)

EARLY LOOK — "Quantum Quads"

Early Look · Keith McCullough · 08/03/26 07:41 AM EDT

- **What:** A Macro Monday note framed via David Bohm's *Wholeness and the Implicate Order* — read markets as an **interconnected system** (Dollar, Yields, Vol, Quad, Nowcast simultaneously), never one ticker.
- **Why:** August's shift to **#Quad3** favors **secular growth** with accelerating y/y revenue while **cyclicals (Semis)** face more downside as growth peaks; currency moves are creating divergent global setups.
- **Who / Where:** Long **Colombia (COLO, all-time high)** and **Brazil (EWZ, +2.3% on the week after going Bullish TREND)**; short **South Korea (EWY, -5.1% overnight)**, **Israel (EIS)**, and bearish **Japan (Nikkei -0.9%, USD/JPY -2.8% on intervention)**. US: **Utilities (XLU) broke to Bearish TREND**; **Consumer Discretionary (XLY) +6.1% on AMZN's moonshot**.
- **Key numbers:** USD Index **-1.5% on the week → Neutral TREND**; Colombian Peso **+8.8%** and Korean Won **+8.7%** over the past month. Risk Ranges: **SPX 7328–7567 (Bullish)**, **NASDAQ 24317–25952 (Neutral)**, **XLK 166–184 (Neutral)**, **UST10Y 4.61–4.75 (Bullish)**, **Gold 4002–4147 (Bearish)**.
- **Takeaway:** #GoAnywhere. Lean into secular-growth longs and international divergences; avoid decelerating cyclicals and don't fight the Quad3 regime with an "Old Wall chart."

THE MACRO SHOW — Summary Notes | Monday, Aug 3

The Macro Show · 08/03/26 10:34 AM EDT

- **What:** Detailed walk-through of the Quad4 → Quad3 monthly regime change and the resulting book.
- **Why:** With **VIX below 19** (“Investable Bucket”), aggregate asset allocation is near its **highest in several months** — buy weakness in process-supported sectors/styles.
- **Who / positions:** Long **RSP** (preferred over the Dow), **XLE / CRAK** (energy equities, no direct oil), **Philippines (EPHE)**, **New Zealand (ENZL)**, **Colombia (COLO)**, **Brazil (EWZ)**, and newly **Gold (GLD)**; short **South Korea (EWY, ~31% off its peak)** and **TLT**. **Covered the Technology short** as **XLK** moved back to Bullish TRADE toward TREND; **covered European equity/euro shorts** before the Yen intervention; **exited Copper, Corn, Wheat**.
- **Key numbers:** WTI broke immediate-term TRADE near **\$83** (TREND ~\$81); **10Y range 4.61%–4.75%**; **Gold TRADE breakout ~\$4,101**.
- **Takeaway:** Signal-first — “go anywhere, but not everywhere.” Quad3 favors secular growth (software, e.g. Microsoft) over cyclical semis; watch for a **TLT short** as bond vol (MOVE) rises.

MOMENTUM STOCK TRACKER — MOMO Tracker

Momentum Stock Tracker · 08/03/26 07:54 AM EDT

- **What / Key numbers:** Mag7 **+3.2%**; **AMZN +15.3%**. Signals showed **7 of 9 Risk Ranges with Downside > Upside**, and a **Monthly Quad3 = Tech Positive (?)** framing.
- **Takeaway:** Even amid the tech bounce, most-tracked names carried more downside than upside in their ranges — a caution flag under the bullish Quad3 tech tilt.

SIGNAL STRENGTH STOCKS — 68 Stocks (4 Added, 2 Removed)

Signal Strength Stocks · 08/03/26 11:21 AM EDT

- **What:** Screen expanded to **68 names**. **Added: SYF, COF, PM, TTWO**.
- **Takeaway:** Financials (SYF, COF) and defensives/consumer (PM, TTWO) entering the screen fits early Quad3 rotation.

CRYPTO QUANT

Bitcoin Trend Tracker · 08/03/26 07:12 AM EDT

- **What / Key numbers:** **BTC -0.5%** overnight; **US ETF flow = -\$75M W/W**. Note references ColdCard, “RIP BTC ‘Culture’,” and **BitGo vs. Anthropic**.
- **Takeaway:** Softening ETF demand and a quiet tape into the regime change; crypto momentum unconvincing.